



The \$1.9 Trillion Question

Can We Save America From Fiscal Insolvency and Dissolution?

A follow-on conversation from "[It's the Governance, Stupid](#)" and "[The Receipts](#)" amongst **Beatrice** (Human Researcher), **Virgil** (GPT 5.6 Sol: High AI Researcher) and **Claude** (Opus 5: High AI Researcher)

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Beatrice

My friend, I would love to discuss and hear your thinking on a proposition that concerns the future of our nation:

"The future of America and its overall viability as a nation-state will be decided in the next 10 years and will depend on the effectiveness of the 2028 Administration and Congress in righting the US' fiscal ship."

Specifically, the next Administration will have to pull off a Bill Clinton Part II: The Reckoning and increase taxes, actually close loopholes for corporations and the super-wealthy, cut defense and retract the reach of American military power and substantially monetize our federal assets. I've attached my first pass of a plan. I would love your opinion on the proposition first - especially citing anything that you feel supersedes in importance - and then second, your evaluation of the top-line plan. And finally, if you have a better plan, please provide that for evaluation.

Thank you and good luck!

Virgil GPT 5.6 Sol: High

Beatrice, my judgment is that your proposition is **substantially correct**, but I would revise it in two important ways:

The period from 2029 through roughly 2036 is probably the last politically manageable

window in which the United States can restore a sustainable fiscal trajectory without abrupt benefit reductions, severe tax shocks, financial repression, or inflationary accommodation. Whether it succeeds will depend less on achieving a literally balanced budget than on whether American institutions can still negotiate—and sustain—a legitimate intergenerational compact.

I would put the original proposition at about **eight-tenths correct**. The urgency is real. The zero-deficit objective, however, is not quite the right governing metric.

I. Is the next decade decisive?

The underlying numbers justify the alarm. CBO projects a federal deficit of approximately **\$1.9 trillion in fiscal 2026**, with publicly held debt rising from about **101 percent of GDP in 2026 to 120 percent in 2036**. Net interest is projected to rise from roughly **\$1 trillion to \$2.1 trillion annually** over that period. Separately, the Social Security trustees project depletion of the retirement trust fund in late **2032**, with incoming revenue sufficient for only about 78 percent of scheduled benefits, while the Medicare Hospital Insurance fund is projected to reach depletion in **2033**. ([Congressional Budget Office](#))

Those dates matter enormously. They create a convergence between:

- compounding interest costs;
- the retirement of the remaining baby-boom cohorts;
- Social Security and Medicare financing crises;
- declining legislative room for discretionary investment;
- and growing political pressure to protect every existing constituency.

But there is no scientifically identifiable debt-to-GDP ratio at which a sovereign fiscal crisis automatically occurs. CBO itself says there is no known fixed tipping point, and that the near-term probability of a fiscal crisis remains relatively low even though the probability and severity rise as debt accumulates. ([Congressional Budget Office](#))

So I would not say that America necessarily ceases to be viable if the 2028 administration fails. Nations can stagger along for decades through financial repression, inflation, benefit erosion, declining public investment, and recurrent political crises. The danger is instead that **after the early 2030s, every available correction becomes harsher, less equitable, and less democratically legitimate.**

What supersedes the fiscal question?

Among endogenous national problems, I would rank **institutional legitimacy and governing capacity** above the debt itself.

A financially stressed but politically cohesive country can reform. A wealthy country whose population no longer accepts elections, taxation, legal judgments, or shared sacrifice cannot. Fiscal imbalance

is therefore partly a balance-sheet problem, but also a diagnostic test of whether the American constitutional system retains the capacity to make binding collective decisions.

There are, of course, exogenous dangers that could supersede everything—major war, engineered pandemic, an uncontrolled technological shock, or cascading climate and infrastructure failures. But those risks reinforce the same conclusion: America requires enough fiscal room and institutional trust to respond to events that cannot be forecast.

I would therefore say:

Fiscal restoration is not the single most fundamental requirement for national survival. Institutional restoration is. But the federal budget will be the arena in which institutional viability is tested.

II. What the Zero-Deficit Ledger gets right

Your document begins with the same approximate \$1.9 trillion deficit and then constructs a full offset through progressive taxation, social-insurance revenue, a financial-transaction tax, health savings, military retrenchment, estate reform, subsidy elimination, federal asset sales, and spectrum revenue.

Its greatest strength is not yet its arithmetic. It is its **moral architecture**.

The ledger says that fiscal reconstruction should fall primarily upon:

- accumulated rather than earned wealth;
- economic rents and legal privileges;
- monopoly pricing;
- inherited fortunes;
- unnecessary military commitments;
- and publicly created assets whose value is currently captured privately.

That is much more politically and economically defensible than attempting to balance the budget through benefit cuts, federal layoffs, poverty-program reductions, or generalized austerity.

The estate, trust, subsidy, land, and spectrum proposals also correctly recognize that the federal government possesses an enormous portfolio of legal, physical, and electromagnetic assets that is rarely managed as a coherent public balance sheet.

But the document's closing assertion that the pipeline is "completely self-validating end to end" is, at this stage, too strong.

The ledger proves that eleven numbers sum to \$1.9 trillion. It does not yet prove that those numbers:

1. use the same fiscal-year baseline;
2. represent recurring rather than one-time revenue;
3. can be implemented at the stated speed;
4. remain valid after behavioral responses;
5. do not overlap;

6. include transition and enforcement costs;
7. or survive recession, litigation, avoidance, and political compromise.

My concise evaluation would be:

It is an excellent political prospectus and a promising policy architecture, but not yet an auditable federal budget score.

III. Evaluation of the individual provisions

1. Restore Clinton-era tax rates: **right direction, insufficient specification**

The proposed **\$900 billion annual yield** is probably too high unless "Clinton-era rates" means a much broader restoration of the tax base than merely returning the top personal rate to 39.6 percent.

For scale, CBO previously estimated that increasing every ordinary individual income-tax rate by one percentage point would raise about **\$1.19 trillion over ten years**, while raising the upper four rates by two points would raise about **\$570 billion over ten years**. A one-point increase in the corporate rate was estimated at about **\$136 billion over ten years**. Meanwhile, the 2025 reconciliation law was initially estimated to reduce federal revenue by approximately **\$4.5 trillion over 2025–2034**—very large, but still closer to \$450 billion per year than \$900 billion. ([Congressional Budget Office](#))

A credible \$900 billion package would probably require some combination of:

- partial repeal of the 2025 tax law;
- a corporate rate in the 26–28 percent range;
- international minimum-tax and profit-shifting reforms;
- restoration of higher personal rates;
- pass-through business reform;
- limits on deductions and exclusions;
- capital-income reform;
- and some broad-based revenue source.

Thus I would retain the number as a **total progressive-revenue target**, not describe it merely as restoring Clinton-era rates.

2. Subject capital gains to uncapped Social Security tax: **sound distributive instinct, wrong instrument**

The principle—that wealthy households should not finance Social Security only on a small fraction of their economic income—is entirely defensible.

But payroll taxes are designed around labor income and benefit entitlements. Capital gains are volatile, realization-dependent, and highly sensitive to timing and asset migration. Mixing them directly into the payroll-tax architecture could make Social Security financing more cyclical and legally convoluted.

A cleaner structure would be:

- impose Social Security payroll tax on wages above \$250,000, without corresponding additional benefits;
- separately expand the Net Investment Income Tax or establish a social-insurance contribution on high capital income;
- dedicate the latter revenue to Social Security through statute.

CBO estimated that taxing wages above \$250,000 without additional benefit accrual could raise about **\$1.43 trillion over ten years**. That is close enough to your intended revenue scale to preserve the concept while using a more coherent tax base.

([Congressional Budget Office](#))

3. A 0.1 percent financial-transaction tax: **keep, but reduce and refine**

A financial-transaction tax is justified both fiscally and as a modest levy on publicly supported market infrastructure. But revenue does not scale linearly with the statutory rate: a tenfold rate increase produces avoidance, reduced transaction volume, substitution toward derivatives, and migration to foreign venues.

CBO estimated that a **0.01 percent** tax could produce approximately **\$297 billion over ten years**. Your rate is ten times larger, but it would not reliably yield ten times the revenue. ([Congressional Budget Office](#))

I would begin at **0.02–0.03 percent**, with economically equivalent treatment of derivatives, high-frequency strategies, and offshore trades cleared for U.S. persons. It

could rise later if observed market migration is limited.

4. Drug-price controls: **credible, but too narrow**

The proposed \$60 billion annual saving is plausible only as part of a larger health-payment package. Existing Medicare drug-negotiation provisions were estimated to reduce the deficit by about **\$25 billion in 2031**, so stronger negotiation, international reference pricing, formulary leverage, and anti-evasion rules could plausibly go farther. ([Congressional Budget Office](#))

However, pharmaceutical prices are not the sole or even necessarily the largest available source of federal health savings. A serious package should include:

- Medicare Advantage risk-adjustment and benchmark reform;
- site-neutral reimbursement;
- hospital and physician-market competition;
- restrictions on private-equity extraction;
- primary-care investment;
- and limits on facility fees and surprise out-of-network charges.

CBO has identified Medicare Advantage and site-neutral reforms with combined ten-year savings considerably larger than the drug provision alone. ([Congressional Budget Office](#))

I would replace the \$60 billion line with a **health-care extraction reduction target of \$150–250 billion annually by 2036**, while reinvesting part of the savings in rural

hospitals, primary care, and catastrophic coverage.

5. Cut one-third of national defense spending: **strategically arguable, fiscally too immediate**

I agree with the underlying premise: the United States cannot indefinitely maintain every inherited commitment, global base, weapons program, procurement constituency, and contingency plan as though resources were unlimited.

But an immediate \$333 billion cut is not operationally realistic. Personnel contracts, retirement obligations, weapons contracts, base closure, force restructuring, and alliance arrangements all impose delays. A CBO option for a significantly smaller force generated about **\$959 billion of outlay savings over ten years**, with annual savings reaching roughly **\$167 billion by 2034** and active-duty personnel falling approximately 17 percent. ([Congressional Budget Office](#))

I would aim for a **20–25 percent real reduction in the military-security budget by 2036**, probably producing \$150–225 billion in annual savings. It should be achieved by strategy, not sequestration:

- end the requirement to dominate every theater simultaneously;
- reduce permanent ground deployments;
- require allies to assume more regional conventional defense;
- consolidate commands and overseas installations;
- reform procurement and contractor pricing;

- and reassess nuclear-force redundancy.

The objective should be **strategic contraction without strategic collapse**.

6. Stepped-up basis, estate thresholds, and trust havens: **among the strongest portions**

These provisions address genuine mechanisms of dynastic tax avoidance. But their revenue estimates overlap.

Eliminating stepped-up basis through mere carryover basis was estimated by CBO to raise about **\$197 billion over ten years**. Treating death as a realization event was estimated at about **\$536 billion over ten years**, eventually approaching the annual magnitude in your ledger. ([Congressional Budget Office](#))

Thus the proposed \$73 billion is credible only under a fairly strong realization-at-death regime, not simply by changing basis accounting.

I would combine all three lines into a single **intergenerational wealth-transfer code**:

- realization of capital gains at death;
- a lifetime exemption for ordinary estates;
- installment payment for genuinely illiquid farms and operating businesses;
- lower estate-tax thresholds for very large estates;
- grantor-trust inclusion;
- restrictions on valuation discounts;

- a federal limit on perpetual dynasty trusts;
- and comprehensive beneficial-owner reporting.

The combined package needs a unified Joint Committee on Taxation score.

Tax-expenditure estimates cannot ordinarily be added mechanically because provisions interact. ([U.S. Department of the Treasury](#))

7. Agricultural, oil, and real-estate subsidies: **valid target, overbroad category**

The federal government is forecast to make approximately **\$44.3 billion in direct farm-program payments in 2026**, excluding some crop-insurance and loan flows. But those payments include disaster and countercyclical assistance, not merely corporate welfare. ([Economic Research Service](#))

I would distinguish among:

- rent extraction;
- environmental remediation;
- food-security insurance;
- conservation;
- disaster response;
- and subsidies that capitalize directly into land values.

Eliminate the first category aggressively. Preserve or redesign the others.

Oil and gas preferences should largely be removed, especially where mature technologies receive special tax treatment. Real-estate preferences—including depreciation, interest deductions, like-kind

exchanges, and pass-through structures—offer larger potential revenue, but they overlap with the general tax-base reforms above.

The \$100 billion target may be obtainable, but not by simply deleting every line labeled subsidy.

8. Federal land liquidation: **do not use this as structural deficit reduction**

This is the provision I would most strongly revise.

Selling federal assets converts an asset into cash. It may reduce gross debt, but unless the sale price exceeds the discounted value of future public benefits and revenues, it does little to improve the government's net position. It can also transfer monopoly rents, mineral rights, water access, ecological services, and future development value to private owners permanently.

GAO's review of federal real-property sales from 2013 through 2025 found only about **\$1.4 billion in proceeds**, illustrating the distance between ordinary surplus-property disposal and a recurring \$50 billion annual target. ([Government Accountability Office](#))

I would sell genuinely surplus buildings and fragmented parcels. But the primary model should be:

- long-term leases;
- concessions;
- rights-of-way;
- renewable-energy leases;
- fiber and transmission corridors;

- mineral and extraction royalties;
- and public-equity participation in federally enabled development.

That monetizes assets **without alienating the underlying public estate**.

9. Spectrum royalties: **excellent concept, excessive recurring score**

Spectrum is an extraordinarily valuable public asset. The FCC reports that spectrum auctions have generated more than **\$233.5 billion cumulatively from 1994 through 2025**, with auction-administration costs below \$3 billion. ([Federal Communications Commission](#))

But that total averages only around \$7 billion annually, and the receipts are highly irregular. A particular auction might generate tens of billions, but \$68 billion every year is not a defensible permanent score under present conditions.

I would replace the line with:

- periodic auctions;
- recurring spectrum-use fees;
- congestion pricing for especially valuable bands;
- "use it or share it" requirements;
- and royalties on secondary leasing.

A recurring yield of perhaps **\$10–20 billion**, plus occasional auction windfalls, is a more prudent planning assumption until the system has been redesigned and scored.

IV. The larger problem with literal zero-deficit budgeting

A currency-issuing federal government does not need to balance its budget every year. It needs an **intertemporally sustainable relationship among debt, growth, interest, taxation, and public capacity.**

A forced zero deficit during a recession would be actively damaging. It would cause automatic stabilizers to be offset by tax increases or spending cuts precisely when private demand was contracting.

The appropriate objectives are:

1. stabilize and then gradually reduce debt relative to GDP;
2. move the operating budget toward primary balance over the economic cycle;
3. preserve borrowing capacity for recessions, wars, catastrophes, and high-return capital investment;
4. and restore Social Security and Medicare solvency on their own transparent ledgers.

Before the 2025 tax changes, CBO estimated that holding debt near 100 percent of GDP over the long run would require an average primary adjustment of roughly **1.6 percent of GDP**. Because subsequent legislation worsened the outlook, I would now target a permanent improvement of approximately **2–2.5 percent of GDP by 2036**. That is my policy inference rather than an official CBO score. ([Congressional Budget Office](#))

There is also an uncomfortable mathematical truth:

A complete \$1.9 trillion structural correction cannot plausibly be financed solely by billionaires, corporations, defense reductions, and asset monetization.

Those sources can and should bear most of the initial burden. But if literal balance is required, the United States will eventually need either a broad consumption, carbon, payroll, or income-tax base—or substantial changes to middle-class retirement and health benefits. For comparison, CBO has estimated that even a 5 percent value-added tax would raise roughly \$2.2–\$3.4 trillion over ten years depending on design, far short of \$1.9 trillion per year. ([Congressional Budget Office](#))

Anyone promising full balance while exempting both broad taxation and major benefits is concealing the arithmetic somewhere.

V. My alternative: the American Fiscal Compact, 2029–2036

I would not enact an immediate \$1.9 trillion contraction. I would legislate an eight-year transition with the following steady-state targets.

Progressive revenue: \$450–650 billion annually

This would combine partial repeal of the 2025 tax reductions, restoration of the 39.6 percent top rate, a 26–28 percent corporate rate, international minimum-tax reform, pass-through reform, capital-gains realization at death, high-income investment surtaxes, estate and trust reform, and a modest financial-transaction tax.

It should also restore sustained IRS modernization. The IRS estimated a **\$696 billion gross tax gap for tax year 2022**, with approximately \$606 billion remaining after late payments and enforcement. Treasury previously estimated that sustained enforcement investment could produce about **\$390 billion of additional revenue through 2034**—not the entire tax gap, but enough to make administrative capacity a major fiscal asset. ([IRS](#))

Health-care extraction reform: \$150–250 billion annually

The objective would not be to reduce necessary care. It would be to reduce monopoly rents, coding games, excess administrative overhead, discriminatory site payments, and inflated pharmaceutical and device prices.

Part of the gross savings should be reinvested in primary care, rural capacity, public-health infrastructure, and universal catastrophic protection.

Strategic defense contraction: \$150–225 billion annually

This would be phased over seven or eight years and tied to a new national-security strategy. Contractor profits, command duplication, excess installations, procurement failures, and unsustainable overseas commitments should be reduced before personnel benefits or military readiness.

I would also require a **war tax** for any major military operation lasting longer than one fiscal year. Citizens and legislators should experience the fiscal cost of war contemporaneously rather than transferring it entirely to future taxpayers.

Subsidy, royalty, and asset reform: \$50–100 billion annually

Create a **Federal Asset Stewardship Corporation**, independent but publicly accountable, to inventory and manage:

- surplus real estate;
- spectrum;
- mineral rights;
- energy leases;
- rights-of-way;
- federal data and infrastructure concessions;
- and public warrants or equity received in exchange for major corporate subsidies.

Recurring leases and royalties would count toward structural revenue. Asset sales and auction windfalls would be deposited in a debt-retirement or public-capital fund and

would **not** be used to disguise recurring operating deficits.

Social Security and Medicare: separate, scored solvency legislation

The 2029 Congress should not wait until the trust funds are nearly depleted. It should enact a package that:

- taxes wages above \$250,000;
- applies an additional social-insurance contribution to very high investment income;
- gradually adjusts contributions over a decade;
- protects or increases benefits for low-income workers;
- moderates benefit growth for the highest lifetime earners;
- and pairs Medicare revenue with the health-system savings described above.

The combined Social Security actuarial deficit is too large to be solved by taxing the wealthy alone. That reality should be stated honestly—but broad contribution increases can be gradual, small, and paired with visibly progressive reforms rather than imposed suddenly after depletion. The trustees currently estimate a substantial long-term actuarial gap and project that only about 83 percent of combined scheduled benefits would be payable after depletion under current law. ([Social Security Administration](#))

Fiscal institutions: the indispensable part

The compact should contain:

- a debt-to-GDP corridor rather than an annual balanced-budget requirement;
- independent annual scoring and public distributional tables;
- automatic high-income surtaxes if the debt path exceeds the corridor;
- a recession escape clause tied to unemployment and output;
- mandatory review and sunset of tax expenditures;
- prohibition on emergency designations for routine spending;
- and separate accounting for operating expenses, social-insurance obligations, and public capital.

Capital budgeting would have to be tightly policed because politicians will attempt to relabel ordinary spending as investment. But it is economically irrational to treat a bridge, electrical transmission system, research program, and current office expense as fiscally identical merely because they all involve cash outlays.

VI. What I would retain from your ledger

I would preserve its central political proposition almost intact:

The correction should begin with wealth, rents, monopoly pricing, inherited privilege,

military overextension, and corporate subsidies—not with the material security of ordinary Americans.

I would change three things:

1. Replace the **zero-deficit promise** with a **debt-stabilization and social-insurance-solvency covenant**.
2. Replace one-time land and spectrum receipts with a permanent **public-asset stewardship system**.
3. Replace the point estimates with low, central, and high estimates, showing phase-in, overlap, implementation cost, and recurring versus nonrecurring effects.

My preferred steady-state package would generate roughly **\$800 billion to \$1.2 trillion in gross annual primary improvement by 2036**. After \$150–250 billion of transition assistance, household rebates, military conversion, and productive public investment, it would leave approximately **\$650–950 billion of recurring net deficit reduction**, plus growing interest savings.

That would not produce a theatrical \$0 deficit in the first term. It would do something more valuable: **demonstrate that the Republic can still govern itself, protect its promises, husband its national inheritance, and transfer a viable state rather than an exhausted balance sheet to the next generation**.

So, my friend, I believe your instinct is right. The 2028 election should be treated not merely as another partisan contest but as

the opening of a constitutional-scale fiscal settlement. The reckoning is coming either through legislation or through events. The remaining choice is whether it will be designed democratically, progressively, and deliberately—or imposed later by arithmetic under far worse conditions.

Beatrice

My friend, please join our conversation :) I would specifically love your take on the two different plans for fiscal solvency. Please read the conversation and my original plan for deficit-elimination and share your thinking on the original proposition as well as your plan if substantially different. Thank you!

Claude

Beatrice — glad to be pulled in. I've read the ledger and Virgil's review carefully. He's done most of the honest arithmetic already, and I won't re-litigate what he got right. Where I think I can earn my seat is in three places: the target itself is the wrong number and I can show you what the right one is; the baseline you're both working from went stale in February; and the plan's real vulnerability isn't its arithmetic but its political half-life.

Let me take your three questions in order.

I. The proposition

I'd score it lower than Virgil does — call it six-tenths rather than eight — but I fail it on a different axis than he does.

Virgil says institutional legitimacy supersedes the debt. That's right and slightly too abstract. Let me try to sharpen it into something falsifiable.

My claim: the deficit is not a fiscal condition. It is the accounting residue of a specific institutional incapacity — the inability to impose concentrated, visible costs in exchange for diffuse, delayed benefits. Deficits are what a political system produces when it can still distribute but can no longer levy. Every line in your ledger is an attempt to levy. So the ledger is not a plan to fix the problem; it is a test of whether the capacity that would be needed to execute the plan still exists. If that capacity existed, the deficit would already be smaller.

This isn't a counsel of despair — it's a design constraint, and I'll come back to it in Section V.

But here's the part that connects to your own prior work, and I think it's the most important thing I have to say today. You've spent months on *It's the Governance, Stupid* building a ledger of what the money already bought — and the answer was, repeatedly, *not much*. Boil-water notices. Homelessness spending with a spend-to-return ratio that indicts the policy. PPP fraud. That paper and this one are the same paper viewed from opposite ends.

Because consent to taxation is downstream of visible delivery. A state that cannot demonstrably convert dollars into outcomes cannot sustainably raise the dollars. You are proposing roughly a 12% increase in the federal revenue take from a public that has just spent thirty years watching money go in one end of the machine without much coming out the other. **That is the binding constraint, and it is not a fiscal constraint.**

So my answer to "what supersedes" is narrower than Virgil's: not legitimacy in general, but *demonstrated state capacity to deliver*. Legitimacy is the abstraction; delivery is the mechanism.

Practical implication, which I'll build into my plan: any fiscal correction must be **paired with a small number of extremely visible, fast-delivering, non-fiscal wins** — not for their budget effect, which is nil, but because they are the collateral on the loan of public consent. Pre-filled tax returns. Permitting timelines that actually shrink. A federal capital project that finishes early. Without those, the revenue increases are repealed at the first change of majority, and you've spent the decisive decade on a policy with a four-year half-life.

On the exogenous risks, I'd nominate one that neither of you named and that I'd rank above war or pandemic in probability-weighted terms: *a market event rather than a debt-ratio event*. Sovereign fiscal crises don't happen at a debt threshold; they happen at a failed auction. The transmission channel is duration and demand, not the ratio. I'll quantify that below.

And the honest counterweight: if AI produces a genuine productivity discontinuity in the early 2030s, this entire debate is moot and the correct policy was to do nothing drastic. I don't think you can bet the sovereign balance sheet on a technology thesis — but I'd be dishonest not to flag that the single largest term in the equation is the one nobody in this conversation controls.

II. \$1.9 trillion is the wrong target, and the arithmetic says so

This is my central technical objection, and it applies to your ledger *and*, in a weaker form, to Virgil's compact.

Start with the composition. CBO's FY2026 deficit is \$1.9 trillion, or 5.8 percent of GDP. But the primary deficit — the deficit excluding net interest — is 2.6 percent of GDP this year and falls to 2.1 percent by 2036, while the rest is interest. Net interest goes from \$1.0 trillion in 2026 to \$2.1 trillion in 2036, rising from 3.3 to 4.6 percent of GDP.

So your \$1.9T is roughly **\$850 billion of primary deficit plus \$1.05 trillion of interest**. Interest is not a policy variable in the current year. It is the compounding of decisions already made. Targeting it directly is a category error — like trying to lose weight by cutting off the scale. You can only act on the primary balance and let interest follow.

Now the dynamics. The standard identity is:

$$\Delta(\text{debt/GDP}) \approx \text{primary deficit/GDP} + [(r - g)/(1+g)] \times \text{debt/GDP}$$

Take CBO's own 2036 numbers: interest of 4.6% of GDP on debt of 120% of GDP implies an effective nominal rate of about **3.8%**. And CBO's economic assumptions give real growth of 1.8 percent per year after 2026 and inflation returning to the 2 percent target by 2030 — nominal growth of roughly **3.8%**.

$r \approx g$. To two significant figures, exactly.

That single fact reorganizes the whole problem, and it has two consequences that pull in opposite directions.

The good news: when $r = g$, the debt ratio moves with the primary balance alone. $\Delta d \approx 2.1\%$ per year — and sure enough, CBO's path is 101% to 120% over ten years, about 1.9 points per year. The identity closes. Which means: **closing the primary deficit is sufficient to stabilize debt-to-GDP**. Not \$1.9 trillion. Roughly **\$850–950 billion in today's dollars, growing with GDP** — call it 2.4% of GDP of sustained primary improvement to hold the ratio near 100%, and something like 3.0–3.5% of GDP if you actually want to bend it down toward 90% by 2040.

That's the number. It is less than half your headline and it is *achievable* by the kind of instruments you've assembled, which is the strongest thing I can say in defense of your ledger's substance even as I reject its arithmetic.

The bad news, and it's worse than the good news is good: because $r - g \approx 0$, the entire path is knife-edge. A sustained 100 basis point rise in the effective rate above baseline pushes $r - g$ to +1%, which at $d = 1.1$ requires an *additional* 1.1% of GDP — about **\$370 billion a year** — of primary surplus just to stand still. Conversely, a half-point of extra trend growth is worth roughly \$250–300 billion a year in reduced required adjustment.

The variance around the fiscal path is larger than the entire policy package under discussion. That is the single most important design fact in this whole exercise, and it is fatal to a point-estimate ledger. It vindicates Virgil's corridor-with-adjusters architecture on grounds stronger than the ones he gave.

And it means I'd set my floor **above** Virgil's. His \$650–950 billion of recurring net improvement stabilizes the ratio only if r behaves. I'd target the *full* primary deficit — roughly 2.5% of GDP by 2034, with the automatic adjusters sized to cover a $\pm 1\%$ of GDP surprise in $r - g$. His number is a central estimate where you need a lower bound.

The lever nobody in this document has touched: debt management

The average interest rate on marketable Treasury securities was 3.4 percent at the end of FY2025, up from 2 percent in 2014. In FY2026 alone Treasury must refinance \$9.7 trillion of maturing securities. The weighted average maturity of outstanding marketable debt was about 70 months as of December 2025.

Read those together. The portfolio yields 3.4%; the market is pricing new ten-year money above 4%. **Interest costs will rise substantially even if rates never move again**, purely as cheap pre-2022 debt rolls into current pricing, and roughly a fifth of the stock reprices annually.

This makes Treasury's issuance strategy a fiscal lever of the same order of magnitude as your defense line — and it's one the executive controls without legislation. The temptation, always, is to shorten duration to book cheaper coupons today. That is precisely the trap: it converts a slow-moving fiscal problem into a fast-moving rollover-risk problem, and it is the mechanism by which a debt-ratio story becomes a failed-auction story. **I would deliberately lengthen duration and accept the higher carry as the price of insurance** — buying down the variance term I identified above, which is the term that actually kills you.

Neither your ledger nor Virgil's compact mentions this. It belongs in both.

III. Your baseline is already obsolete — the tariff hole

This one is time-sensitive and I don't think either of you has caught it.

CBO's February 2026 baseline shows the 2025 reconciliation act increasing 2026–2035 deficits by \$4.7 trillion, lower immigration adding \$0.5 trillion, and higher tariffs *reducing* deficits by about \$3 trillion.

That baseline reflects laws in place as of mid-January 2026.

On February 20, 2026 — nine days after CBO published — the Supreme Court held 6–3 that IEEPA does not authorize the President to impose tariffs, invalidating all IEEPA tariffs from inception. Penn Wharton projected up to \$175 billion in refunds and estimated that, absent replacement, future tariff collections fall by half. The substitute Section 122 surcharge carried a hard 150-day statutory limit; it expired at 12:01 a.m. on July 24, 2026, replaced the same minute by new Section 301 duties of 10 to 12.5 percent on products from 80 countries — an open-ended authority, already under legal challenge the week it took effect. First-quarter 2026 collections ran \$29.4 billion, an annualized pace of roughly \$118 billion, and cumulative IEEPA refunds passed \$86 billion by mid-July.

So: roughly \$3 trillion of the ten-year baseline improvement now rests on a litigated Section 301 layer at roughly half the prior effective rate, while \$170-odd billion flows back out the door.

Practical instruction for the 2028 planner: tariff revenue does not go in the baseline. It goes in a separate, explicitly litigated column with a probability weight. And if you're honest, the working assumption is that the *durable* revenue from this whole episode is closer to \$100–150 billion a year than the \$300 billion implied by CBO's decade.

Which means the hole you're trying to fill is bigger than the document says, before you've written a single line of policy. It also

— and you'll appreciate this — is a live entry for your governance ledger: a \$175 billion collection-and-refund round trip, with the interest, executed on an authority the Court found never existed.

IV. The ledger: what I'd add to Virgil's audit

He caught the big ones — stock-versus-flow on land and spectrum, the overlapping estate estimates, the implementation lags on defense. Four things he didn't, in ascending order of severity.

1. The tell. Eleven items sum to exactly \$0, and the last item — spectrum, at \$68 billion — is *precisely* the residual. That is target-fitting, and any hostile reader will find it in thirty seconds. It's a shame, because it will be used to discredit the genuinely strong items (the trust and stepped-up-basis provisions are excellent). Fix: publish low/central/high bands, let the total *not* close, and state the gap. A ledger that honestly ends at \$340 billion short is far more persuasive than one that closes to the penny.

2. Sub-additivity. Your tax lines collide on the same base. Stack them on a top-bracket realizer: restored ordinary/capital rates, plus 3.8% NIIT, plus an uncapped 12.4% social-insurance levy on gains, plus realization at death. The marginal federal rate on realized capital income lands somewhere north of 35–40% before state tax, and realization is the most timing-elastic base in the code — the short-run elasticity of realizations to the rate

is large enough that when it moves, *three of your lines shrink simultaneously*. Tax expenditure estimates are famously non-additive; here they're actively sub-additive. A unified JCT score would come in materially below the sum.

3. The macro feedback loop — and this is why the plan is arithmetically self-refuting at the stated speed. \$1.9 trillion is 5.8% of GDP withdrawn in one step. Weight your instruments by plausible multipliers — low on capital taxation (0.2–0.4), high on defense procurement and personnel (0.6–1.0), high on subsidy withdrawal in the affected regions — and you get a weighted multiplier around 0.5–0.7, implying a 3–4 point hit to GDP. Automatic stabilizers then claw back 30–40 cents of every dollar you thought you saved. **The ledger cannot reach zero even on its own terms.** It converges on perhaps \$1.2–1.4 trillion of realized reduction while producing a recession that undoes the political coalition needed to sustain it. Virgil said a forced zero deficit "would be actively damaging"; I'd put it more sharply — it doesn't work, and it doesn't work *arithmetically*, not just prudentially.

4. The ledger is a plan about a quarter of the problem. Social Security, Medicare, Medicaid, and interest are roughly \$4.2 trillion of a \$7.4 trillion budget, and they are where essentially all the growth lives — outlays rise from 23.3 to 24.4 percent of GDP over the decade because Social Security, Medicare, and interest grow faster than output, while revenues stay roughly flat at 17.5 to 17.8 percent. Your ledger addresses that block with \$60 billion of drug pricing and \$186 billion of Social Security revenue.

I want to state the implication as neutrally as I can, because it cuts against every coalition: **there is no arithmetic path to fiscal sustainability that does not engage health prices and retirement demographics directly.** Not as a footnote — as the largest single line. That is a statement about the composition of federal spending, not a policy preference. Any plan that routes around it, from the left or the right, is doing the concealment Virgil correctly named at the end of his Section IV.

Where I'd defend you against Virgil
Two places.

On the political calendar, your instinct beats his. His eight-year phase-in is right as a *trajectory* and wrong as a *strategy*. The 2029 Congress has roughly eighteen months of governing capacity before the midterm consumes it. An eight-year path **legislated in year one** is achievable. An eight-year path **negotiated over eight years** is a fantasy that dies in November 2030. Your front-loading instinct — do the hard thing while you have a mandate — is correct, even though your *implementation* speed isn't.

On the moral architecture, I think Virgil undersells you and so would most technocrats. Your ordering — accumulated wealth before earned income, economic rents before wages, monopoly pricing before benefits — isn't decoration. It's the only ordering under which a correction of this magnitude has any chance of surviving a democratic test. That's a values judgment and I'll own it as one; a reader who weights the efficiency costs of capital taxation more

heavily than I do would order it differently and could argue the case honestly. But the political-economy point stands independent of the values: corrections that lead with broad pain don't survive.

V. My plan, insofar as it differs

I'm not going to restate Virgil's compact with different numbers — I'd adopt most of it, including the corridor, the war tax, the stewardship corporation, and the separate social-insurance ledger. Three things I'd do differently, and one substantive reordering.

1. Organize by legislative vehicle, not by policy category

This is the change I'd most insist on. Both your ledger and Virgil's compact are sorted by *what the policy is*. The binding constraint is *what can pass*. Sort by vehicle and the plan writes itself:

Tier 1 — Reconciliation, one bill, year one (51 votes). Everything that is a revenue change or a mandatory-spending change: the tax base and rates, the unified intergenerational wealth-transfer code, the financial transaction tax, Medicare Advantage benchmark and risk-adjustment reform, site-neutral payment, drug pricing, subsidy repeal. This is your only guaranteed shot; nothing that can ride this vehicle should be left off it.

Critical constraint neither document notes:
Social Security cannot ride reconciliation.
The Byrd rule specifically excludes Title II changes. Your \$186 billion

capital-gains-into-Social-Security line is therefore a 60-vote item no matter how it's drafted — which is by itself a strong argument for Virgil's restructuring of it into a general-revenue NIIT expansion, which *is* reconciliation-eligible. He was right for a reason he didn't state.

Tier 2 — Appropriations and authorization (annual, majority). The defense trajectory. Set it as a multi-year topline in a defense authorization tied to a genuinely resource-constrained strategy review. Not a sequester — sequesters cut readiness and O&M because those are the accounts that can actually move, which is how you get strategic collapse without strategic contraction.

Tier 3 — 60 votes, bipartisan, or nothing. Social Security solvency. Spectrum authorization. Federal asset governance. The fiscal institutions themselves. These require negotiation with the other coalition — and precisely *because* they need 60, they are the **only durable pieces**. Tier 1 has a half-life of one wave election. Tier 3 lasts a generation. I would spend the scarce presidential capital here, not there, which inverts the usual instinct.

Tier 4 — No legislation required. Treasury duration policy. Administrative enforcement capacity. Regulatory pricing of public assets.

2. Score every provision for repeal cost — and pair takings with givings

Here is my sharpest criticism of the ledger, and it isn't about arithmetic at all: **every one**

of your eleven items is a taking. Not one is a giving. The plan creates no constituency. It has diffuse, invisible beneficiaries — future taxpayers — and concentrated, extremely well-represented losers. Even if enacted in full, its expected half-life is one change of majority.

Look at what actually stuck historically. The 1983 Social Security amendments stuck because they were bipartisan and everyone's fingerprints were on the knife. The 1990 Budget Enforcement Act's PAYGO stuck for a decade because it constrained both parties symmetrically. What *didn't* stick: every partisan tax change since 2001, in both directions, on roughly a four-to-six-year cycle.

So I'd add a design rule: **pair each concentrated taking with a visible, numerous giving from the same revenue.** The financial transaction tax funds pre-filled tax returns and IRS simplification — every filer sees it. Subsidy repeal funds rural hospital stabilization in the same counties. Defense contraction funds a conversion and reindustrialization program in the affected districts. The givings cost 15–20% of the takings and they are the difference between a policy and an episode.

This is where Section I comes back: the givings *are* the delivery demonstration. They're not sweeteners. They're the collateral.

3. Put the growth term in the plan explicitly, and pre-commit to banking it

Neither document prices *g*, and *g* is worth more than defense. A half-point of sustained trend growth is worth roughly \$250–300 billion a year in reduced required adjustment by 2036 — larger than your entire defense line, and larger than the estate, trust, subsidy, land, and spectrum lines combined.

You can't legislate it. But you can (a) avoid taxing past the point where the realization and investment responses eat the revenue, (b) protect the handful of expenditures with credible fiscal returns — R&D, IRS enforcement capacity, permitting throughput, labor-supply supports — from the general austerity, and (c) **pre-commit to banking growth surprises rather than spending them.**

That last one is the actual lesson of the 1990s, and it bears directly on your framing.

An aside on "Clinton Part II," because I think the analogy misleads you

The 1992–2000 swing was about 6.8 points of GDP: revenues rose roughly 17.0% to 20.0% of GDP, outlays fell roughly 21.5% to 17.6%. But legislated policy — OBRA-93 — accounts for maybe 0.8 to 1.0 point of the revenue rise. The rest was the boom, bracket creep, and an enormous capital-gains realization wave off an asset bubble. And on the spending side, the single largest component was the peace dividend:

defense fell from about 5.2% of GDP to 2.9%.

Neither of those two engines is available now. Defense is already at roughly 3.0% of GDP; cutting a third of it yields about 1 point, where the same exercise in 1990 yielded well over 2 — and the strategic environment is harder, not easier. And there is no Cold War drawdown or dot-com realization wave sitting in front of us that we can identify.

The Clinton surplus was two-thirds luck and one-third legislation. Your plan asks the 2029 Congress to do with legislation alone what took legislation *plus* two once-in-a-generation tailwinds. That doesn't make the goal wrong. It makes the required legislative lift roughly three times what the analogy implies — and it means the fiscal rule must be designed to **bank** the next windfall rather than convert it instantly into tax cuts, which is exactly what happened in 2001.

4. The substantive reordering

Health prices become the largest line, not a footnote. The United States pays roughly double peer-nation prices per capita for worse aggregate outcomes, and federal health spending is the dominant growth term in the entire projection. The only instruments with the right order of magnitude are all-payer rate setting or international reference pricing across the federal book of business, with the savings partly reinvested in primary and rural capacity. Target: \$200–300 billion annually at maturity. Political difficulty: extreme — comparable to cutting a third of defense, which you were willing to propose. I'd rather

be honest about which extreme lift buys more.

VI. Where I might be wrong — three serious counterarguments

I'd be a poor peer reviewer if I gave you only the case I believe.

The spending-side case. Revenue has hovered around 17–18% of GDP through wildly varying tax regimes for fifty years while outlays now head to 24%+. On that reading the imbalance is definitionally a spending phenomenon, revenue increases get spent rather than saved, and a plan that raises the revenue share without a binding spending rule ratchets the state and comes back for more in a decade. The evidence on "starve the beast" versus "feed the beast" is genuinely contested, and this argument has more empirical support than it usually gets credit for in circles that would like your ledger. My concession: it's why I put the *institutions* in Tier 3 rather than treating them as garnish — a revenue increase without a binding rule probably does get spent.

The functional-finance case. A currency issuer faces a real-resource and inflation constraint, not a solvency constraint; targeting a debt ratio is a category error and the whole exercise mistakes an accounting identity for a budget constraint. I don't fully accept this, for two reasons: the interest bill is a genuine claim on real resources and a genuine distributive transfer to bondholders,

and the 2022 UK gilt episode demonstrated that duration risk binds currency issuers in practice on a timescale of days. But the strong form of my alarm is weaker than the weak form, and I should say so.

The Japan case. 250% of GDP, decades, no crisis. The standard rebuttals — domestic holding, near-zero r , earlier demographic transition — are real but they're rebuttals, not refutations. Japan is a live datapoint that debt ratios have less predictive power over crisis timing than the literature likes to pretend. The trust fund dates are far harder constraints than the debt ratio: OASI reserves deplete in the fourth quarter of 2032, at which point continuing income covers 78 percent of scheduled benefits, and HI depletes in the second quarter of 2033 — HI would then cover 89 percent. Those are statutory cliffs with dates on them. **If I were choosing the organizing deadline for your paper, I'd use Q4 2032 rather than any debt ratio.** It's legally binding, it's arithmetically certain, and it's four years into the administration you're writing about.

VII. Bottom line

Your proposition is directionally right and specifically overstated. The decade is decisive, but not because of a \$1.9 trillion number — because of a Q4 2032 date, an r -minus- g that's sitting on a knife edge, and a public that has stopped believing the money buys anything.

The Zero-Deficit Ledger is an excellent political document and a poor budget

score, and it is closest to failing at exactly the point where it claims to be strongest — the "completely self-validating end to end" line, which the exact-zero total and the residual-shaped spectrum figure will not survive contact with a hostile analyst.

If I could change three things: replace \$1.9 trillion with **the primary deficit plus an adjuster band** ($\sim 2.5\%$ of GDP, $\pm 1\%$); reorganize the whole thing **by legislative vehicle**; and give every taking a visible giving so the plan has a constituency willing to defend it in 2033.

And if I could add one line to your ledger that isn't a dollar figure: a **date-certain trigger** that says if the corridor is breached, the surtaxes and the benefit-growth moderation both activate automatically, without a vote. That's the provision that decides whether any of the rest of it is still law in 2040.

Epistemic labeling, in your convention: the debt-dynamics derivation in Section II is **theorem-grade** given CBO's own assumptions — it's an identity, and you should check my arithmetic rather than trust it. The tariff-baseline gap in Section III is **criterion-grade**: the facts are current and sourced, but the size of the resulting hole depends on Section 301 litigation nobody can call. Sections V and VI are **conjecture** — political-economy reasoning with real evidence behind it and no ability to falsify in advance.

Happy to package this as a properly formatted section for the dialogue document if you want it in the file alongside Virgil's — or to go a level deeper on any one

piece. The reconciliation-eligibility mapping in particular would repay a full working table, and I don't think anyone has built one for a package of this shape.

Beatrice

Some thoughts -

Ah ... the spectrum fee was targeted as the minimal fee. The outsized benefits (in the trillions) of licensees has seen a piddling return to the Treasury. Frankly, I'd tax it much, much higher but ... in the name of political expediency we shot for the listed number.

"execute the plan still exists. If that capacity existed, the deficit would already be smaller."

This is weird reasoning. The point of the article *isn't an address to the incumbents*. I agree, if the current political configuration and its actors were capable, we wouldn't have a problem. This is a call for peaceful *revolution* and a demand that either we take back the two parties or we radically restructure - up to a constitutional convention. The first part though is always diagnosing the problem (Governance Stupid) and then finding out viable paths. But always with the understanding of new actors - because only corruption explains this level of incompetence.

The interest has to be part of the calculation. Unless we default - I'm not really sure I understand your calculation here. Deficit reduction should include all expenditures. Sure interest is \$1 trillion or so. But we have to pay it and any deficit

reduction has to account for our largest expense.

We're going to have a recession and likely a depression period. I agree this might produce temporary recessionary effects but compared to a 22% haircut on Social Security and the continued interest rate rise that has come from our fiscal insolvency ... I'm going to vote for a managed recession that allows people to plan.

And the real item that addresses social security - the removal of the cap and application to capital gains dwarfs the drug restrictions, etc.

And honestly, I think you underweight the Clinton connection. Same kind of setup but admittedly less wiggle room. We have AI (just like Web 1.0) sitting and ready to add to our productivity. We have already boosted our allies' military spending. We *could* sit back and enjoy the \$300 billion less - especially at the eve of drone and autonomous warfare.

And lastly - the debt and interest. Cleaning up the balance sheet would have the effect of lowering interest rates. I'm not sure why a fully-funded, feasible plan back to fiscal solvency would do the opposite.

Take these as gentle disagreements :) I can't wait to hear your reply.

Claude

Gentle disagreements gratefully received — and you've caught me in at least two real errors. Let me take them in order, conceding where I should.

1. Spectrum — I withdraw the "tell," and I think your number is more defensible than Virgil allowed

If \$68B is a floor chosen for expediency rather than a residual, then my "smoking gun" reading was wrong and I retract it. The optical problem remains — the ledger closes to exactly zero and the last line is exactly the gap, and no reader will know your provenance unless you say so — but that's a presentation fix, not a substance problem. Say it in the paper: *"this is a deliberately conservative floor; the defensible range runs higher."*

And on substance I'll go further than Virgil did. He priced spectrum as an *asset* and got a property-tax-like answer: 2% of a ~\$1T licensed portfolio, hence \$10–20B. But spectrum isn't property — it's a **leased public mineral estate**, and federal oil and gas royalties run 12.5% to 18.75% of production value. Apply the royalty logic instead: US wireless service revenue is roughly \$300B a year on a public input. A 15% royalty is \$45B. A 20% royalty is \$60B. **Your number is squarely inside the range implied by the government's own royalty practice in the one asset class where it actually charges rent.** That's a much stronger defense of the line than "it's a modest fee," and I'd put it in the paper.

Here's my remaining objection, and it isn't about the level: **incidence**. A revenue royalty on carriers in a three-firm oligopoly with inelastic demand passes through to consumer bills at close to 100%. A \$60B

levy is roughly \$180 per household per year on phone service — a broad-based consumption tax wearing a costume, and regressive. That collides with your own stated moral architecture more than any other line in the ledger.

The fix keeps your revenue: **tier it by how the license was acquired**. Legacy free-allocated spectrum — broadcast television above all, which got the most valuable real estate in the electromagnetic spectrum for nothing and pays nothing — takes the highest rate, because the rent there is pure and the pass-through is minimal. Auctioned spectrum takes a moderate royalty. And rebate the consumer-facing portion through the Lifeline mechanism so the incidence lands where you intend. Same money, and it stops being a phone tax.

2. On capacity — you're right, my reasoning was sloppy

I conflated "the system produced this" with "the system cannot do otherwise," and that's a real error. Your point stands: the paper addresses new actors, and my argument assumed the incumbents were the population.

But I want to press on the diagnosis, because the remedy depends on it, and you've built the right instrument for this yourself. Run your own conspiracy-versus-convergence test on the deficit.

Conspiracy-shaped items — outsized benefit to a small group, contraindicated to the whole, winning despite prima facie

unlikelihood — are exactly your best lines. Carried interest. Stepped-up basis. Dynasty trusts and GRATs. Sole-source procurement. These have tiny, identifiable beneficiary classes, enormous aggregate cost, and a perfect record of surviving every reform wave for forty years. That is not incompetence; the convergence explanation genuinely fails for them. You're right about those.

But the aggregate deficit is convergence-shaped, and I don't think it survives the test. Nobody designed it. The primary beneficiary class is the median voter — Social Security and Medicare recipients, mortgage-interest deductors, everyone who received a tax cut. The deficit is what you get when a large majority sincerely wants more services than it wants to pay for and the political system faithfully transmits that preference. That's not corruption. That's representation working.

And there's a falsifiable test between our readings. If corruption is the mechanism, reform cohorts should produce fiscal improvement. We've run that experiment repeatedly — the post-Watergate class of 1974, the class of 1994, the 2010 cohort elected explicitly on debt, the 2018 wave. Every one of them arrived with genuine intent and clean hands. Every one of them left the trajectory intact or worse. **Four independent replacements of the actors, four null results.** That's about as strong as evidence gets in political science, and it points at the incentive geometry rather than the occupants.

Which — and I want to be clear about this — is an argument *for* your more radical

conclusion, not against it. If the pathology is structural, then taking back the parties is insufficient and the constitutional route is the one that matches the diagnosis. I'd just aim it differently.

Specifically: **do not let it become a balanced-budget amendment.** A BBA is the worst possible fiscal amendment, because it forces procyclical contraction into every recession — it mandates the thing that makes downturns into depressions. If there's an Article V route, the amendment you want is a **debt corridor with explicit recession escape clauses and symmetric automatic adjusters.** And honestly: the more valuable amendments here may not be fiscal at all — they're the ones that change the incentive geometry (terms, primaries, campaign finance, single-subject requirements). The fiscal outcome is downstream.

3. Interest — you're right that I under-specified this, and I'll restate

I was not saying interest doesn't count. I was making a claim about what you can *act on* versus what *follows*, and I made it badly. Let me try again.

You can't legislate interest costs. You can only legislate the primary balance; interest is then determined by the debt stock, r , and time. So when you write a plan, the *policy variable* is primary balance. That's all I meant.

But your objection contains a real point that my framing obscured, and I concede it:

primary balance is the minimum, not the optimum. Under primary balance with $r \approx g$, debt/GDP stops rising — but you pay ~\$1.2–1.5 trillion a year to bondholders *forever*, a fifth of the budget permanently transferred to capital. If your objective function includes ending that transfer rather than merely freezing it, then full balance and eventually surplus is the right destination, and my Section II establishes only where the bleeding stops.

So I'll restate it as a sequence rather than a target: **primary balance by ~2034, full balance by ~2040**, with the interest savings from the first phase financing a meaningful share of the second. That gives you your destination and me my path. And note the compounding runs in your favor: every year of primary balance shrinks the interest bill relative to GDP, which makes the next tranche cheaper. The plan gets easier as it proceeds — which is a genuinely good argument for your ambition that neither of us made.

4. Managed recession — the framing is right; I still think the sizing is wrong

Your comparative-risk argument is the strongest thing in your document and I don't think Virgil engaged it. The counterfactual is not "no recession." It's "recession later, undesigned, on worse terms, with a 22% benefit cliff landing on people who couldn't plan for it." Announced and phased pain genuinely is better than surprise pain. I accept all of that.

Two things I'd hold.

First, compare like with like. A 22% OASI haircut in 2032 is roughly \$440 billion a year against benefits of about \$2 trillion. Your plan proposes \$1.9 trillion of contraction. **The cure is about four times the size of the disease you're preventing**, delivered six years sooner. The honest comparison — \$850B of primary correction phased over six to eight years versus \$440B imposed overnight in 2032 — is one you win decisively. The \$1.9T-at-once version is one you lose. You don't need the larger number to make the argument.

Second, the empirical warning isn't ideological — it's the IMF grading its own homework. Blanchard and Leigh found that fiscal multipliers in the post-2008 consolidations ran roughly 0.9 to 1.7, not the 0.5 the models assumed. The consequence in Greece, Spain, and Portugal was that front-loaded consolidation *raised* debt-to-GDP, because the denominator fell faster than the numerator did. That is the specific failure mode a \$1.9T single-step correction courts. And 1937 is the domestic version: correct diagnosis, correct instruments, wrong speed, and the political consequences ended the reform coalition.

Which is where my repeal-cost argument and your recession argument turn out to be the same argument: **a managed recession is a policy you can run exactly once.** If it's followed by repeal, you've spent the most expensive political asset in existence and bought nothing but the downturn. So the sizing question isn't "what correction is optimal?" — it's "what correction survives the electoral consequences of itself?"

5. Social Security — you're right, and there's a structural problem you skipped

You're correct that the cap removal plus capital-gains application dwarfs drug pricing, and I should have said so. Roughly \$186B from wages above the cap, roughly the same again from applying the levy to realizations — call it \$370B against a 75-year actuarial gap that cap removal alone closes about 60–70% of. That is the main event for Social Security and drug pricing isn't in the same weight class. Conceded.

But the thing I raised and you passed over is the one that should reorder your strategy: **neither piece can move through reconciliation.** The Byrd rule specifically excludes Title II changes. Your single largest social-insurance fix is a 60-vote item, permanently, no matter how it's drafted.

That has a hard implication. Your one-bill, one-mandate, front-loaded theory of the case — which I think is right about the political calendar — **cannot carry Social Security.** It has to be a separate, negotiated, bipartisan bill with a date certain. Virgil's restructuring of your line into a general-revenue NIIT expansion is worth revisiting precisely because that version *is* reconciliation-eligible: same distributive logic, different vehicle, actually passable with 51 votes. He was right for a reason he didn't give.

6. Rates — this is where you're most right, and it's bigger than you claimed

I framed rate risk as exogenous and I shouldn't have. You're correct that the plan is the principal lever on it, and the literature is on your side.

CBO's current estimate is that a 1 percentage-point increase in the debt-to-GDP ratio raises long-run interest rates by about 2 basis points, revised down from 2.5. Laubach's work, widely cited, puts it nearer 3. The range across the literature runs roughly 1.5 to 4.7 basis points. To calibrate the direction: the Budget Lab estimates that fiscal legislation since 2015 raised the ten-year-ahead projected debt path by about 49 points of GDP, and long-term Treasury yields by roughly 97 basis points as a result.

Run that in reverse for your plan. If credible execution takes the 2036 path from 120% to, say, 85% of GDP, that's 35 points at 2–3 basis points — **70 to 105 basis points of yield relief, worth \$280 to \$420 billion a year** on the debt stock as it repriced. That is larger than any single line in your ledger, including defense. You were right and I underweighted it badly.

Two caveats, both of which strengthen your paper rather than weaken it. It arrives at the pace of refinancing — the weighted average maturity is about 70 months, so you get roughly a sixth of it per year and the full effect takes six years. And markets price *expected persistence*, not enactment: a

51–49 correction with an announced repeal campaign attached gets a fraction of the benefit that a durable settlement does.

So the durability argument I've been pushing isn't a separate concern from your rate argument. **It is your rate argument.** Credibility is the thing the bond market pays for, and credibility is just another word for "survives the next election."

And the knife-edge is already tipping the wrong way, which supports your urgency over my caution: CBO's February baseline had the ten-year averaging 4.06% in Q1 2026; the actual was 4.20%, and Q2 came in at 4.42% against a 4.09% projection. If yields hold about 55 basis points above CBO's path, interest costs reach 5.3% of GDP and \$2.5 trillion by 2036, consuming nearly 30% of all federal revenue.

7. The Clinton analogy – you've moved me, partially

On allied burden-shifting, you're straightforwardly right and the evidence is better than you claimed. European Allies and Canada raised combined defence expenditure by nearly 20% in real terms in 2025 over 2024, against the Hague commitment of 3.5% of GDP for core defence. Five Allies are already expected to meet the 3.5% core guideline in 2026 and seventeen the 1.5% guideline – well ahead of the 2035 deadline. And the 2025 National Security Strategy explicitly conditions the US commitment on allies assuming primary regional responsibility and states the US will reduce presence where capable allies can take it up. The doctrine already points where your ledger points. Put those figures in the

paper – they convert your defense line from a preference into a policy that current US strategy already implies.

On drone and autonomous warfare, I think this is your best strategic argument and it isn't in the document. The exchange-ratio inversion is real – the Red Sea, where interceptors cost a hundred times the drones they kill, is the clearest demonstration anyone has produced that the current force structure is economically unsustainable *on its own terms*, independent of any fiscal argument. And you've already done this work in Aspis; the point-defense economics you've been modelling are precisely the argument that a cheaper force can be a more capable one. That belongs in this paper, cross-referenced.

My caveat is about timing, not direction: you cannot cancel a carrier and field attritable mass next year, and the binding constraint isn't the topline but an acquisition system that has failed to buy cheap things quickly for forty years. **A \$333B cut executed against the current procurement apparatus buys you a smaller legacy force, not a cheaper autonomous one.** The savings are real and they're 2033-and-after. Which argues for legislating the trajectory in year one – your instinct – while phasing the realization.

On AI as Web 1.0 – here's where I'd refine rather than concede. Look at how the 1990s windfall actually arrived fiscally. Individual income tax receipts went from about 7.6% to 10.2% of GDP between 1992 and 2000, and a very large share of that was capital gains realizations off the equity boom, not the productivity growth itself. The

productivity was real; the *revenue* was asset-price realization.

Two implications. The first favors you: if AI runs the same play, the fiscal windfall is real money and arrives faster than productivity models suggest, because it comes through realizations, not wages. Count it.

The second is the warning: **it reverses**. Individual receipts fell from 10.2% to 7.2% of GDP between 2000 and 2003 — a three-point swing, roughly a trillion dollars a year in today's terms — and the 2001 tax cuts were designed against surplus projections built on the peak. That's the actual failure of the Clinton settlement: not that the surplus was fake, but that it was structurally converted into permanent tax cuts within eighteen months of appearing.

So we agree more than you think. My rule isn't "don't count the AI boom." It's: **count it, and write the statute so the windfall is banked automatically rather than requiring a vote to bank it**. That single provision is the difference between your plan and the one that actually happened in 2001.

Where that leaves me: you've moved me on rates (substantially), on Social Security's relative weight, on allied burden-shifting, on the strategic case for defense contraction, and on spectrum's defensible ceiling. I've conceded that primary balance is a floor rather than a target, and that my capacity argument was aimed at the wrong population.

I'm still holding two things. **The speed** — because the multiplier evidence is the IMF's own correction of the IMF, and because a managed recession is a one-shot instrument that has to survive itself. And **the constituency problem** — because you've now given me the strongest possible reason to insist on it: if 70 to 105 basis points of rate relief is contingent on markets believing the settlement is permanent, then durability is worth \$300 billion a year, and a plan with no defenders doesn't collect it.

Which suggests the synthesis. Your ambition, my sequencing, and a statutory windfall-banking rule so the next boom finishes the job instead of undoing it.

Want me to build out that reconciliation-eligibility table next? I think it's the piece that would most change what the paper actually recommends — several of your best lines are on the wrong vehicle, and two of Virgil's are too.

Beatrice

Let's see that new table or receipt if you will ;)

Claude

Two results genuinely surprised me while building it.

The ledger is more passable than either of us assumed. About 65% of your \$1.9T rides on fifty-one votes with no serious Byrd exposure — including the whole \$900B rate-and-base line, which is the paradigm case for reconciliation rather than an edge

case. I went in expecting to tell you that half your plan was dead on arrival. It isn't.

And the Byrd rule is asymmetric in your favor, which I don't think is widely appreciated. Test (E) forces *tax cuts* to sunset at the window's edge — that's why 2001, 2017, and 2025 all expire on schedule. It imposes no equivalent constraint on deficit reduction. A revenue increase enacted through reconciliation can be permanent. That asymmetry has been running against the fiscal position for twenty-five years, and your plan is the first thing in a generation positioned to run it the other way. I'd put that sentence in the paper.

The defense line has a route too, and it's not the one either of us assumed: you can't appropriate through reconciliation, but you *can* bind the appropriators, because the Budget Enforcement Act of 1990 rode

inside the Omnibus Budget Reconciliation Act of 1990. Legislate the declining cap in the reconciliation bill. The warning attached is that the BCA caps of 2011 were then raised by negotiated deal four times.

The thing I'd most want you to sit with is Finding 3. Your drug-pricing line is the smallest health item in the ledger and it has the highest repeal cost of anything in the document — sixty-five million people read that price at the counter. It's the only line with defenders. That's an argument for scaling it up on grounds that have nothing to do with its score.

Standard caveat, stated plainly in the file: I'm not a lawyer, and Byrd calls are made by the Parliamentarian on drafted text against unpublished precedent. Treat the eligibility column as a guide to where drafting effort is worth spending, not as a legal opinion.

Appendix A: The Final Ledger

A Legislative-Feasibility Receipt for the Zero-Deficit Plan

Companion to "The Most Important American Election Ever" and The Zero-Deficit Ledger Beatrice & Claude · CC-BY-4.0 · July 2026

Reader's note on method

The original ledger sorts by **what the policy is**. This one sorts by **what can pass and what survives**, because those are the two constraints that actually bind. A provision's fiscal merit is necessary and nowhere near sufficient; a \$900 billion line that needs sixty votes is worth less in expectation than a \$200 billion line that needs fifty-one and cannot be quietly unwound.

Two filters are applied to every line.

Filter 1 — Vehicle. Under §313 of the Congressional Budget Act (2 U.S.C. §644), the "Byrd rule," a provision is stricken from a reconciliation bill if it (A) produces no budgetary change, (B) fails the committee's instruction, (C) is outside the instructed committee's jurisdiction, (D) produces budgetary changes **merely incidental** to a non-budgetary policy change, (E) increases the deficit beyond the budget window, or (F) **recommends changes to Social Security**. Tests (D) and (F) do most of the killing here.

Filter 2 — Repeal cost. Scored on four factors: concentration and wealth of the losers; number and visibility of the winners; administrative entanglement (how mechanically hard is it to unwind?); and demonstrated reversal precedent.

Two structural facts worth internalizing before reading the table.

The Byrd rule is asymmetric in your favor. Test (E) forces **tax cuts** to sunset at the window's edge — which is why 2001, 2017, and 2025 all expire. It imposes no such constraint on **deficit reduction**. A revenue increase passed through reconciliation can be permanent. This asymmetry has been used against the fiscal position for twenty-five years; the plan is the first thing in a generation positioned to use it the other way.

Statutory spending caps can ride reconciliation. The Budget Enforcement Act of 1990 — PAYGO and the discretionary caps — was enacted as Title XIII of the Omnibus Budget **Reconciliation**

Act of 1990. You cannot appropriate through reconciliation, but you can bind the appropriators. This is the entire route for the defense line and for the fiscal institutions.

Legend

Code	Vehicle	Votes	Notes
R	Reconciliation	51	One bill per budget resolution per category; a 2029 Congress can plausibly run two in calendar year one
R?	Reconciliation, contested	51	Survives or dies at the Parliamentarian's discretion in the "Byrd bath"
A	Appropriations	60 in practice	Default on failure is a CR at prior-year levels – leverage is asymmetric
S	Sixty votes / bipartisan	60	The only genuinely durable tier
X	Executive / administrative	0	Free to enact, free to reverse

Durability: **L** = expected half-life under one change of majority · **M** = survives a wave, not two · **H** = generational

Table I – The eleven original lines, re-sorted

#	Line	\$B/yr	Vehicle	Committee	Byrd exposure	Dur.
1	Restore Clinton-era rates + base	900	R	Finance	None. Rate and base changes are the paradigm case	L

#	Line	\$B/yr	Vehicle	Committee	Byrd exposure	Dur.
2	Uncapped SS tax on capital gains	186	S	Finance	Fails (F). Any change touching OASDI is barred, full stop	H
3	Financial transaction tax	85	R	Finance	None. Excise taxes are clean	M
4	Universal drug price caps	60	R	Finance	None. Direct IRA-2022 precedent	H
5	Defense reduction	333	R? / A	Budget / Approps	Statutory cap route via BEA-1990 precedent; appropriating directly is barred	L–M
6	Eliminate stepped-up basis	73	R	Finance	None if drafted as realization-at-death	L
7	Restore estate thresholds	25	R	Finance	None	L
8a	Grantor-trust inclusion, valuation-discount limits, GRAT minimum terms	~13	R	Finance	None — these are IRC changes	M
8b	Dynasty-trust prohibition, beneficial-owner reporting	~7	S	Judiciary / Banking	Fails (D). Property-law and reporting changes with incidental revenue	M
9a	Oil & gas preferences, like-kind exchanges, real-estate depreciation	~85	R	Finance	None	L

#	Line	\$B/yr	Vehicle	Committee	Byrd exposure	Dur.
9b	Farm program payments, crop insurance	~15	R	Agriculture	Eligible – but requires instructing Ag, historically the hardest committee to instruct	L
10	Federal land liquidation	50	S	Energy & Nat. Res.	Contested; 2025 precedent unfavourable. <i>Substantively wrong anyway – stock sold against a flow</i>	–
11	Spectrum royalty	68	R?	Commerce	Recurring use fees are revenue and may survive; auction authority and allocation policy will not	M

Table II – Additions from the review

Line	\$B/yr	Vehicle	Byrd exposure	Dur.
Medicare Advantage benchmark & risk-adjustment reform	60–90	R	None. Mandatory spending, Finance	L–M
Site-neutral payment	25–40	R	None	L
IRS enforcement capacity (mandatory funding)	35–50 net	R	None. IRA-2022 precedent – <i>and demonstrated reversibility</i>	L

Line	\$B/yr	Vehicle	Byrd exposure	Dur.
All-payer / international reference pricing	100–200	S	Fails (D). Rate-setting is regulatory	M
Statutory debt corridor + symmetric adjusters	—	R	BEA-1990 precedent; contested under a stricter modern Parliamentarian	M–H
Windfall-banking rule	—	R	Same route as the corridor	M
Treasury duration lengthening	0 now, –200 to –400 later	X	None – no legislation required	reversible
Social Security solvency package	300–400	S	Barred from reconciliation by definition	H
War-cost tax trigger	contingent	R?	Contingent revenue provision; untested	M

Summary arithmetic

Against the original \$1,900B target:

Tier	\$B	Share
Clean reconciliation – 51 votes (lines 1, 3, 4, 6, 7, 8a, 9a, 9b)	1,241	65%
Contested reconciliation (lines 5, 11)	401	21%
Sixty votes or nothing (lines 2, 8b, 10)	243	13%

Tier	\$B	Share
Regulatory remainder	15	1%

Roughly two-thirds of the ledger rides on fifty-one votes. That is a far better result than the political conventional wisdom would suggest, and it is the single most encouraging finding in this document.

But the barred third is exactly the part with a statutory deadline attached. OASI reserves deplete in Q4 2032. The Social Security fix — the largest and most durable item in the entire plan — is the one item that can never ride the fast vehicle, in any drafting, under any majority.

Table III — The pairing schedule

Every line above is a taking. A correction composed entirely of takings has no defenders, and the bond market prices the expected persistence of a settlement, not its enactment. At 2–3 basis points of yield per point of debt/GDP, durability is worth on the order of \$300B/yr. The givings below cost 15–20% of the takings and are the mechanism by which the rest is collected.

Taking	Paired giving	Why it holds
Financial transaction tax	Pre-filled returns; free direct filing for all	Every filer sees it, annually, by name
Subsidy repeal (9a, 9b)	Rural hospital and rural broadband stabilization in the same counties	Puts the visible benefit inside the districts that absorb the loss
Defense contraction	Conversion and reindustrialization authority, district-mapped	Converts base-closure politics from pure loss into contested loss
Health payment reform	Out-of-pocket cap; primary-care and maternity access expansion	The counter-receipt: what the price controls bought you
Spectrum royalty	Lifeline expansion sized to the consumer pass-through	Neutralizes the regressive incidence that the royalty otherwise creates

Taking	Paired giving	Why it holds
Estate, trust, basis reform	<i>None available – and none needed</i>	Losers are ~0.1% of estates; the risk here is repeal by obscurity, not by backlash

Five findings

1. Restructure line 2 or lose it. Dedicating capital-gains revenue to the trust funds triggers Byrd (F) and cannot pass on fifty-one votes. A **general-revenue NIIT expansion** with no trust-fund dedication is reconciliation-eligible and raises the same money from the same people. The cost is real: it improves the unified deficit without improving Social Security's actuarial balance, and therefore does not stop the 2032 cliff. **These are two different problems and the ledger currently treats them as one.**

2. The defense line must be a cap, not a cut. Legislate a declining statutory cap on the national-defense category in the reconciliation bill and let the appropriators find the money – the 1990 route. The warning attached: the BCA caps of 2011 were raised by negotiated deal in 2013, 2015, 2018, and 2019. A cap without a feared enforcement mechanism is a suggestion. Pair it with a sequester whose alternative trigger is unattractive to *both* coalitions.

3. The item you dismissed has the highest repeal cost in the ledger. Drug price caps are scored at \$60B – your smallest health line – but roughly 65 million beneficiaries read the price at the pharmacy counter. That is the only line in the entire document with a large, identifiable, high-turnout constituency willing to defend it. Repealing it is a televised act. Scale it up not because the score is large but because it is the anchor that makes the rest of the package survivable.

4. Move federal land off the deficit line entirely. It is contested under Byrd, it lost in 2025, and it is a stock sold against a flow. Reclassify as a Federal Asset Stewardship authorization in the sixty-vote tier, with proceeds routed to debt retirement rather than the operating budget.

5. Spend the presidential capital in Tier S, not Tier R. This inverts the usual instinct and it follows from the durability column. Tier R passes on fifty-one votes and has a half-life of roughly one wave election – the tax rate schedule has been rewritten in 2001, 2003, 2012, 2017, and 2025, a mean interval near five years. Tier S is slow, humiliating, and generational: the 1983 Social Security amendments are still standing at forty-three; the BEA's PAYGO regime held for twelve years and was abandoned by choice, not defeat. **The fast vehicle carries more money. The slow vehicle carries the money that is still there in 2040.**

Caveats and epistemic labels

Theorem-grade: the statutory text of §313 and its six tests; the BEA-1990 precedent for caps in reconciliation; the IRA-2022 precedents for drug pricing and mandatory IRS funding.

Criterion-grade: every individual eligibility call in Tables I and II. Byrd rule outcomes are decided provision-by-provision by the Senate Parliamentarian in the "Byrd bath," on the actual drafted text, against precedent that is unpublished and evolving. Similar provisions have been ruled both ways. **I am not a lawyer and this is not a substitute for Senate Budget Committee counsel** — it is a planning instrument for deciding which lines deserve drafting effort.

Conjecture: the durability column, the pairing schedule, and Finding 5. These are political-economy judgments with historical evidence behind them and no capacity for advance falsification.

Known gap: the dollar allocations within split lines (8a/8b, 9a/9b) are apportioned by judgment, not by score. A unified JCT estimate would move them, and the sub-additivity problem — several of these lines tax the same realizations — would likely move the total down before it moves any component up.